

to start experiencing the noticeable benefits of compounding investment returns.

Once you've built a sizeable portfolio, your money produces substantial investment returns, which amplify the results of the efforts from you working, earning, and saving. At some point around this milestone, you will reach a crossover point. You'll begin to notice that when your investments have a good month or year, they will passively contribute more to your net worth gains than your active contributions. Passive income is what makes FI possible—this is definitely something to celebrate.

## 5) Getting Close

The next two milestones may occur in either order. The order will depend on the amount of discretionary spending you have in your budget. Depending on the lifestyle you desire, either may give you the confidence to start transitioning from a traditional job to a different way of life.

The first of these milestones occur when your portfolio reaches twenty-five times the annual spending required to cover all your *essential expenses* like housing, food, utilities, and health insurance. Tracking your expenses (discussed in Chapters 4 and 5) allows you